

Kwame Nkrumah University of Science and Technology
Department of Electrical and Electronic Engineering
Mid-Semester Examinations – Fourth Year, March, 2018

TE 462 Telecommunication Policy

Time: 45 Minutes

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1. WTO aims at

- (a) establishing rules for domestic trade
- (b) restricting trade practices
- (c) liberalising international trade
- (d) encouraging entrepreneurs
- (e) None of the above

2. All the following are rules or guidelines contained in the WTO Reference Paper on Regulation EXCEPT

- (a) There should be a regulatory body independent of governments and operating companies
- (b) Licensing criteria should be publicly available and transparent
- (c) The regulator should allocate scarce resources fairly between operators
- (d) Regulation should provide for interconnection between major operators
- (e) None of the above

3. Characteristics of _____ include the removal of exclusive rights from monopoly firms and award of licences for all new services on a competitive basis.
- (a) regulation
 - (b) privatization
 - (c) liberalization
 - (d) de-regulation
 - (e) reformation
4. In a de-regulated industry, market forces are allowed to work with no external intervention.
- (a) TRUE
 - (b) FALSE
5. The process of transition from a monopoly market to a competitive one is referred to as _____
- (a) regulation
 - (b) privatization
 - (c) liberalization
 - (d) de-regulation
 - (e) reformation
6. Two linear equations A and B represent two supply curves. A has a slope of 2 while B has a slope of 3. Which of the two equations represent a more elastic supply?
- (a) A
 - (b) B
 - (c) All of the above
 - (d) None of the above
 - (e) Cannot be determined

7. The following are instruments of regulation EXCEPT
- (a) regulations
 - (b) resolutions
 - (c) decisions
 - (d) policies
 - (e) None of the above
8. _____ refers to the intervention by governments in markets in order to achieve certain outcomes in those markets.
- (a) regulation
 - (b) privatization
 - (c) liberalization
 - (d) de-regulation
 - (e) policy
9. Supply is the quantity of a good sellers wish to sell each time the market opens
- (a) TRUE
 - (b) FALSE
10. Which form of regulation establishes a common and legally enforceable platform for all businesses within a sector?
- (a) Competition regulation
 - (b) Public policy regulation
 - (c) Business regulation
 - (d) Technical standardisation
 - (e) Business standardisation

11. A market can accurately be described as
- (a) a place to buy things
 - (b) a place to sell things
 - (c) the process by which prices adjust to reconcile the allocation of resources
 - (d) a place where buyers and sellers meet
12. _____ regulation states, in advance, a rule that a company must obey.
- (a) *ex-parte*
 - (b) *ex-ante*
 - (c) *ex-post*
 - (d) *Audi alteram partem*
 - (e) *nemo iudex in sua causa debet esse*
13. Which one of the following does NOT occur in perfect competition?
- (a) There are many buyers.
 - (b) Firms and buyers are completely informed about the prices of the products of each firm in the industry.
 - (c) There are significant restrictions on entry into the industry.
 - (d) Firms already in the industry have no advantage over potential new entrants.
 - (e) No single firm can exert a significant influence on the market price of the good.
14. An increase in consumer income will increase demand for a/an _____ but decrease demand for a/an _____.
- (a) substitute good, inferior good
 - (b) normal good, inferior good
 - (c) inferior good, normal good
 - (d) normal good, complementary good

15. The factors that encouraged the monopoly paradigm in the telecommunication sector can be categorized as
- (a) social, political and economic
 - (b) political and economic
 - (c) social and political
 - (d) social and economic
 - (e) None of the above
16. Which of the following is NOT a widely accepted regulatory objective in the telecommunication sector?
- (a) Foster competitive markets to promote local entrepreneurial initiative
 - (b) Protect consumer rights, including privacy rights
 - (c) Promote universal access to basic telecommunications services
 - (d) Optimize use of scarce resources
 - (e) Create a favourable climate to promote investment to expand telecommunications networks
17. What type of rule is referred to as 'common sense' regulation?
- (a) *ex-parte*
 - (b) *ex-ante*
 - (c) *ex-post*
 - (d) *Audi alteram partem*
 - (e) *nemo judex in sua causa debet esse*

18. The mission of the UN specialized agency responsible for issues concerning information and communication technologies includes all of the following EXCEPT,
- (a) coordinating the shared global use of the radio spectrum
 - (b) promoting international cooperation in assigning satellite orbits
 - (c) working to improve telecommunication infrastructure in the developing world
 - (d) assisting in the development and coordination of worldwide technical standards
 - (e) None of the above
19. Perfect competition occurs in a market where there are many firms each selling:
- (a) a unique product
 - (b) a capital intensive product
 - (c) a similar product
 - (d) an identical product
 - (e) a competitive product.
20. The maxim 'hear the other side' is expressed in Latin as
- (a) *ex-parte*
 - (b) *ex-ante*
 - (c) *ex-post*
 - (d) *Audi alteram partem*
 - (e) *nemo judex in sua causa debet esse*

21. Which of these entities is responsible for policy implementation in the telecommunication sector in most developed market economies?
- (a) The ministry in charge of the telecommunication sector
 - (b) The national telecommunication regulator
 - (c) Mobile network operators
 - (d) The courts of law
 - (e) The police
22. Which of the following is FALSE about an industry with one monopoly firm?
- (a) Higher prices are experienced
 - (b) Supply is low
 - (c) Production is inefficient
 - (d) Inferior goods are produced
 - (e) None of the above
23. Which of these sectors manages the international radio frequency spectrum and satellite orbit resources?
- (a) ITU-R
 - (b) ITU-T
 - (c) ITU-D
 - (d) ITU-S
 - (e) None of the above
24. _____ regulation gives regulation its power to react reasonably in unforeseen circumstances.
- (a) *ex-parte*
 - (b) *ex-ante*
 - (c) *ex-post*
 - (d) *Audi alteram partem*
 - (e) *nemo iudex in sua causa debet esse*

25. In the mixed economy
- (a) economic problems are solved by the government and market
 - (b) economic decisions are made by the private sector and free market
 - (c) economic allocation is achieved by the 'invisible hand'
 - (d) economic questions are solved by government departments
26. Which of these sectors helps spread equitable, sustainable and affordable access to information and communication technologies (ICT)?
- (a) ITU-R
 - (b) ITU-T
 - (c) ITU-D
 - (d) ITU-S
 - (e) None of the above
27. The specialized agency of the United Nations (UN) responsible for issues that concern information and communication technologies is
- (a) International Telecommunications Union
 - (b) International Telecommunication Union
 - (c) Institute of Electrical and Electronics Engineers
 - (d) Institute of Electrical and Electronic Engineers
 - (e) World Trade Organization
28. Which of these types of economies is vulnerable to managerial corruption?
- (a) Traditional
 - (b) Command
 - (c) Market
 - (d) All of the above
 - (e) None of the above

29. The principles of good regulatory decision-making include all of the following EXCEPT
- (a) Transparency
 - (b) Objectivism
 - (c) Professionalism
 - (d) All of the above
 - (e) None of the above
30. A change in price can cause a shift of a demand curve
- (a) TRUE
 - (b) FALSE
31. A command economy decides resource allocation by government planning
- (a) TRUE
 - (b) FALSE
32. What type of rules are vulnerable to becoming dated or inappropriate in a fast-moving high technology industry?
- (a) *ex-parte*
 - (b) *ex-ante*
 - (c) *ex-post*
 - (d) *Audi alteram partem*
 - (e) *nemo judex in sua causa debet esse*
33. If a price increase of good A increases the quantity demanded of good B, then good B is a
- (a) substitute good
 - (b) complementary good
 - (c) inferior
 - (d) normal

34. What type of rule is being applied if a regulator states, 'You must not indulge in anti-competitive practice', but determines whether a breach has taken place after the event?
- (a) *ex-parte*
 - (b) *ex-ante*
 - (c) *ex-post*
 - (d) *Audi alteram partem*
 - (e) *nemo judex in sua causa debet esse*
35. Opponents of _____ regulation believe that it gives regulators the combined functions of lawmaker, policeman, judge, jury and executioner.
- (a) *ex-parte*
 - (b) *ex-ante*
 - (c) *ex-post*
 - (d) *Audi alteram partem*
 - (e) *nemo judex in sua causa debet esse*
36. Price ceilings are imposed to increase price above the free market equilibrium price
- (a) TRUE
 - (b) FALSE
37. The principle _____ ensures that no person can judge a case in which they have an interest.
- (a) *ex-parte*
 - (b) *ex-ante*
 - (c) *ex-post*
 - (d) *Audi alteram partem*
 - (e) *nemo judex in sua causa debet esse*

38. The role of regulators changes as markets become more competitive.
- (a) TRUE
 - (b) FALSE
39. Which of these sectors standardizes global telecommunications (except for radio)?
- (a) ITU-R
 - (b) ITU-T
 - (c) ITU-D
 - (d) ITU-S
 - (e) None of the above
40. By concentrating action on proven grievances rather than on compliance with finely detailed rules, _____ regulation is potentially efficient regulation.
- (a) *ex-parte*
 - (b) *ex-ante*
 - (c) *ex-post*
 - (d) *Audi alteram partem*
 - (e) *nemo judex in sua causa debet esse*

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